

The Stock Exchange as a Stabilizing Factor in American Business

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When we speak of the New York Stock Exchange as a stabilizing factor in American business, it is necessary to consider not only what the Exchange really is, but also in what business stability really consists. Just now the plea to "stabilize business" is heard on every side but all too few of its advocates ever stop to define very exactly what they mean by "stabilization." Some apparently think that stability in prices consists in continually raising them. Most men, in fact, are human enough to show the maximum enthusiasm over programs for stabilizing business under which they themselves will be likely to profit the most in immediate dollars and cents. On the other hand, it should be obvious that if business stability is to be narrowly defined as a complete lack of change, and an endless perpetuation of existing business conditions, all progress and invention must be ruled out as factors in our future economic well-being. It is therefore apparent that the real virtue of stabilizing any given situation in business depends very largely on circumstances, and should not be entered into without due consideration and analysis. When carried to artificial and extreme lengths, programs for stabilizing business invariably run up against economic laws which in the long run prove insuperable. A century ago a noted philosopher exclaimed "Liberty! What